Acquisition Financing & Debt Capacity

Historical evidence review | USD millions | cutoff May 15, 2025

Blocked — insufficient verified evidence.

Historical company preference: None. Material evidence remains incomplete.

Unavailable: complete funding uses, eligible cash, instrument schedules and contractual borrowing capacity remain unresolved.

Supported historical calculations

acquirer FY2024 simple operating EBITDA: 1,874.3 USD millions. Operating profit + cash-flow D&A

acquirer FY2024 CFO less gross capex: 509.3 USD millions. CFO - gross cash capital expenditures

acquirer FY2024 selected operating NWC: 2,066.3 USD millions. Inventory + receivables - payables

acquirer Q4 CFO less gross capex: 394.5 USD millions. (FY CFO - 39wk CFO) - (FY capex - 39wk capex)

target FY2024 simple operating EBITDA: 305.0 USD millions. Operating profit + cash-flow D&A

target FY2024 CFO less gross capex: 105.0 USD millions. CFO - gross cash capital expenditures

target FY2024 selected operating NWC: 1,303.0 USD millions. Inventory + receivables - payables

target Q4 CFO less gross capex: 192.0 USD millions. (FY CFO - 39wk CFO) - (FY capex - 39wk capex)

FL cash reconciliation: 0.0 USD millions. 401 + 4 + 25 - 430 = 0

FL financial debt principal: 450.0 USD millions. Notes principal + finance-lease liability

FL finance-lease rollforward check: 0.0 USD millions. Opening + additions - (cash paid - interest) - closing

Common shares all-cash consideration: 2,293.5 USD millions. May 12 outstanding common shares x $24 / 1e6

Common shares all-stock issuance: 11.2 million DKS shares. May 12 outstanding common shares x 0.1168 / 1e6

DKS note annual coupon obligation: 54.4 USD millions. 750 x 3.15% + 750 x 4.10%

FL note annual coupon obligation: 16.0 USD millions. 400 x 4%

These are bounded historical reconciliations, not a complete acquisition financing analysis. Common consideration excludes awards, fees and debt. Simple operating EBITDA is not covenant EBITDAR.

Evidence resolution

Original material gaps: 36; resolved 13; remaining 23. Resolved future assumptions are not verified historical facts.

Material uncertainty

Spendable cash and intervening commitments, complete award settlement, instrument lease schedules, and contractual borrowing capacity remain unresolved. Foot Locker ABL termination requires funded payoff and LC treatment. Original indentures establish call terms, not the future outcome of rating events or consents.

Sensitivities

Operating study varies annual growth 0/-5/-10% and EBITDA margins 0/-100/-200bp. New-debt unit study varies benchmark +/-200bp, spread +0/100/200bp and fees 1/2/3%. Synergies use 0/100/125, one-year delay and doubled integration costs. Full funding capacity and liquidity reverse stress are unavailable; no synthetic substitution.

See memo.md and the workbook Historical gap review for all 36 items, exact missing information, applicability and source references. All archives are machine-reviewed extracts, not original filing bytes or human signoff.

acquirer.FY2024.dividends_buybacks_commitments: Review original pre-cutoff fiscal accounts; record exact fiscal dates, units and reconciliation.

acquirer.FY2024.lease_reconciliation: Review original pre-cutoff fiscal accounts; record exact fiscal dates, units and reconciliation.

acquirer.debt.change_of_control: Review debt notes and executed agreements for every instrument; reconcile totals, cite sections and document any non-applicability.

acquirer.debt.coupons_and_resets: Review debt notes and executed agreements for every instrument; reconcile totals, cite sections and document any non-applicability.